



CITY OF
CHEYENNE
— W Y O M I N G —

CITY
ENGINEER

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MEMORANDUM

DATE: April 22, 2026

TO: Honorable Mayor Patrick J. Collins
City Council Members

FROM: Thomas D. Cobb, PE, City Engineer 

SUBJECT: **BN Contract No. BF-20579498, BNSF Railway and Grant Applicant 22905 Agreement between the City of Cheyenne and BNSF for the Reed Avenue Rail Crossing Elimination Project.**

Purpose and Need:

Enclosed for your review and consideration is the 22905 Agreement between the City of Cheyenne and BNSF. The City of Cheyenne is advancing the Reed Avenue Corridor Rail Crossing Elimination Project as part of the Federal Railroad Administration's FY23–24 Railroad Crossing Elimination Program. As outlined in federal statute (49 USC §22905), the City must enter into a formal agreement with BNSF Railway, the owner of the affected rail corridor, to obtain necessary rights and permissions for project development, final design, and future construction activities. The safety components for the project intend to:

- Improve safety by eliminating multiple at-grade crossings.
- Upgrade remaining crossings with pedestrian safety devices and channelization.
- Restrict access to the railroad through new corridor fencing.
- Install storm drainage improvements to convey stormwater out of the corridor.

The attached BNSF agreement (File No. BF-20602500) outlines these federal assurance requirements and serves as the prerequisite for FRA obligation of grant funds.

Cost and Funding

Because the project is located entirely within BNSF right-of-way, the City is required to compensate BNSF for use of railroad property and to establish project coordination procedures through a Construction and Maintenance Agreement (C&M Agreement). Any necessary funding for the agreement (C&M) will likely come from the 2017 Specific Purpose Option Tax (6th Penny) Reed Avenue Rail Corridor. BNSF has indicated that this compensation is a one-time payment for use of its right-of-way for the Reed Avenue Corridor Project.



We understand from our professional consultant team Quandel that the payment amount will be calculated as 10% of the appraised value of the BNSF right-of-way necessary for the project.

The specific appraised value and resulting amount will be formally documented and finalized in the forthcoming Construction and Maintenance Agreement (C&M Agreement) that will be negotiated with BNSF following FRA obligation of grant funds.

Recommendation

I respectfully request approval of this agreement to advance the project. Upon Council approval, City staff will proceed with advance negotiations with the BNSF for the C&M Agreement, secure right-of-way valuation, and complete the FRA obligation requirements to allow the project to proceed to design and construction phases.



APPROVED as to form only:
By David Hopkinson at 3:29 pm, Apr 23 2026

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BNSF RAILWAY AND GRANT APPLICANT
22905 AGREEMENT

BNSF File No.: BF-20602500
Mile Post 118.4-119
Line Segment 476
U.S. DOT Number 245687Y, 245689M, 245690G, 245691N, 245692V, 245693C,
245694J, 245695R, 245696X
Front Range Subdivision

This 22905 Agreement ("**Agreement**") is executed to be effective as of _____ ("**Effective Date**"), by and between BNSF RAILWAY COMPANY ("**BNSF**") and the City of Cheyenne ("**Applicant**"). BNSF and Applicant are sometimes referred to individually herein as a "**Party**" and collectively as "**Parties**".

RECITALS

WHEREAS, BNSF owns the rights-of-way and operates a line of railroad in and through the City of Cheyenne, County of Laramie, and State of Wyoming ("**Property**");

WHEREAS, the Applicant applied through the Department of Transportation Federal Railroad Administration ("**FRA**") for the 2023-2024 Railroad Crossing Elimination Program ("RCE Grant") for **Reed Avenue Corridor Rail Crossing Elimination Project** ("**Project**"), which will conduct Project Development, Final Design and Construction activities aimed to close or improve several at-grade crossings along the Reed Avenue Corridor and BNSF tracks in Cheyenne, Wyoming. The Project will enhance safety by restricting access to railroad facilities through fencing improvements, eliminating four crossings, and upgrading the six remaining crossings by installing pedestrian safety devices such as pedestrian gates, swing gates, or channelization. Lastly, the Project aims to install storm drainage systems to convey stormwater out of the rail corridor. ;

WHEREAS, the Project will be within BNSF's Property and Applicant may compensate BNSF for use of its rights-of-way in connection with the Project;

WHEREAS, the FRA has awarded the RCE Grant to the Applicant;

WHEREAS, the FRA grant programs are subject to the requirements of Section 22905(c)(1) of Title 49, United States Code ("**Section 22905**");



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WHEREAS, prior to the RCE Grant obligation, the Applicant is required by Section 22905 to have a written agreement that includes certain assurances with BNSF;

WHEREAS, BNSF is agreeable to the Project on their Property; and

WHEREAS, the Parties are prepared to work with all involved stakeholders on further development of this Project, subject to the assurances below, the satisfactory review of funding requirements, final engineering, and entering into definitive agreements as may be required by BNSF or other Project stakeholders.

AGREEMENT

NOW, THEREFORE, in consideration of the mutual covenants and agreements of the Parties contained herein, the receipt and sufficiency of which are hereby acknowledged, the Parties agree as follows:

1) 49 USC § 22905(c)(1) Assurances

Assurances pursuant to 49 USC § 22905(c)(1). The Parties hereby provide the following assurances with respect to this Agreement:

- (A) The Parties agree that the Applicant shall compensate BNSF for use of its rights-of-way in connection with the Project, unless such compensation has been addressed in a prior agreement between the Parties.
- (B) Applicant and BNSF assure that the Project as proposed above, when complete, has adequate infrastructure capacity to accommodate both existing and future freight and passenger train operations (49 U.S.C. § 22905(c)(1)(B)(passenger operations do not currently exist).
- (C) BNSF assures that collective bargaining agreements with the railroad's employees (including terms regulating the contracting of work) will remain in full force and effect according to their terms for work performed by the railroad on the railroad transportation corridor for the construction of the proposed Project (49 U.S.C. § 22905(c)(1)(C)).
- (D) As appropriate, the Applicant assures that it complies with the liability requirements consistent with 49 U.S.C. § 28103.



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Notwithstanding the foregoing assurances, the Parties agree and provide further as follows:

- (E) BNSF's assurance regarding capacity in Subsection (A) above is made by BNSF in consideration of current conditions and presently-known expectations for future capacity needs pursuant to BNSF's review of preliminary plans and specifications provided to date for the Project, in order to meet the grant purposes including to ensure the Project does not limit current or future rail capacity. The provision of said assurance shall in no way obligate, limit, or otherwise restrict either Party's rights or obligations under this Agreement or otherwise, or the ability to make changes in and to the Project location or BNSF's right of way to accommodate future needs, including but not limited to any needs occasioned by BNSF's provision of rail services as a common carrier.
- (F) Nothing in this Agreement shall be construed as prohibiting, limiting, or otherwise restricting BNSF from negotiating and/or modifying (including the removal of any of) the terms (including subcontracting terms) of any applicable collective bargaining agreement now in effect as provided by or pursuant to the Railway Labor Act (45 U.S.C. § 151 et seq., as amended). Further, nothing in this Agreement shall be construed as providing any separate or additional remedy for an alleged breach of a collective bargaining agreement, which are and shall be limited to those remedies provided by such collective bargaining agreement and/or the Railway Labor Act, as applicable.
- (G) These assurances are made for the purposes of this Agreement only. No third party benefits are intended or provided.

2) Scope and Limitations of Agreement

The Parties acknowledge that entering into this Agreement does not of itself obligate either BNSF or the Applicant to participate in the Project. If the RCE Grant is obligated and Applicant elects to proceed with the Project, then BNSF and the Applicant agree to enter into negotiations for appropriate agreements regarding the preliminary engineering review, funding, construction of the Project, and other related activities. If applicable, BNSF's financial contribution to the total Project cost is conditional upon the obligation of the RCE Grant. Nothing in this Agreement shall obligate BNSF to enter into any subsequent agreement or otherwise permit the Project *except and subject to* any terms and conditions that BNSF may subsequently approve in its sole discretion.

3) Confidentiality



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This Agreement is strictly confidential between the Parties. Except to the extent required by the Wyoming Public Records Act, Wyo. Stat. § 16-4-201, *et seq.*, no Party shall disclose the terms and conditions of this Agreement or as otherwise agreed in writing between the Parties. The Party making disclosure will notify the other Party in advance of such disclosure.

4) No Right of Entry

Nothing in this Agreement shall be construed as providing the Applicant or its contractors, consultants, or other agents any right of entry upon property owned or occupied by BNSF. Any preliminary engineering or other work required by Applicant in connection with the Project necessitating entry upon BNSF's railroad right-of-way shall only be conducted as authorized by a separate written permit obtained by Applicant from BNSF for such entry ("**Entry Permit**").

The Entry Permit will provide that any on-site visits, including diagnostic evaluations, by the Applicant and its parties required for the Project shall be conducted only from adjoining properties, and the Applicant shall ensure that no attendees enter or remain on BNSF's right-of-way, except when using an authorized highway-rail crossing designated for such purpose.

The Applicant or its agents must contact BNSF's Manager of Public Projects, Mary Ann Monaldi at maryann.monaldi@bnsf.com, or BNSF's permitting agent Jones Lang LaSalle Brokerage, Inc. ("**JLL**") at <http://bnsf.railpermitting.com/> to obtain the required Entry Permit prior to any entry.

5) Miscellaneous

(A) This Agreement shall be governed by Wyoming law, and venue for any dispute arising out of this Agreement shall be brought to a court of competent jurisdiction in or near Laramie County, Wyoming. Each Party to this Agreement shall assume the risk of any liability arising from its own conduct. Neither Party agrees to insure, defend, or indemnify the other. Pursuant to Wyo. Stat. § 1-39-104(a), the State of Wyoming and BNSF expressly reserve sovereign immunity by entering into this Agreement, and specifically retain all immunities and defenses available to them as sovereigns.

(B) The Applicant, as a governmental entity, along with its officials and employees, does not waive its governmental immunity by entering into this Agreement, except to the extent necessary for the parties to pursue a contract action to clarify or enforce the written terms of the Agreement. Furthermore, the City specifically retains all



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immunities and defenses available to it as a sovereign or governmental entity pursuant to Wyo. Stat. § 1-39-101, *et seq.*, and all other relevant state and federal law.



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IN WITNESS WHEREOF, the Parties have caused this Agreement to be executed as of the day and year first written above.

CITY OF CHEYENNE

BNSF RAILWAY COMPANY

By: _____

By: _____

Name: Patrick J. Collins, Mayor

Name: Mary Ann Monaldi
Manager Public Projects

Accepted and effective on _____.